



“We have to stay on the cutting edge of technology and respect controls, because in this country getting business is no problem... there is a lot of demand [for credit]”

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once infrastructure was funded, whether they would get land clearance, environment clearance, and things would get stuck. **One big difference now is that most project financing happens after getting these clearances.** Therefore, projects don't get stuck. The second big difference is that when institutions finance it, many get financed after a project is completed. As a bank, we are not much into infrastructure financing as we burnt our fingers very badly... But as an Indian, I believe infrastructure financing is very important. And I'm beginning to see institutions doing it.

Q: And are we again heading towards the era of development financial institutions, in the form of NaBFID and others? Will banks partner with such institutions in the future?

A: Banks have realised one thing: project financing, where equity risk is taken by the bank, is not their business model; because project financing has certain uncertainties unless all clearances are taken. We (banks) are dealing with public deposits... we cannot put public deposits on the line for a business where repayment is not certain... One big difference

[now] is that many projects are [being financed] after, for example, the road is already laid, toll is already coming—there is no problem financing that project because cash is already coming in... Secondly, you find large international players wanting to take a part of the India pie... I've heard of KKR, Cube [Highways]... **Because of the narrative we have created about India, ₹100 lakh crore of investment is coming up for infrastructure in the next few years.** Because of that, there is positivity about India, governance, completion of projects, and therefore, international money is coming to India, which is a very big change.

Q: Let's come to digital public infrastructure (DPI). How do you see it powering India?

A: We are using this infrastructure extensively... A large part of the bank is built on the new digital infrastructure. So, what does Digital India mean from a lender's point of view? [About] 10-20 years ago, if you had to take a loan, you would go to a bank; the bank manager would appraise you... Then they will take your signature, they'll appraise it [and] the loan will come after maybe eight to 20 days. Now, KYC is